

AVGO Broadcom Inc.

NASDAQ · Technology. Semiconductors & Infrastructure Software · Updated 2026-06-17

RECOMMENDATION BUY with positive bias	CURRENT PRICE \$377	12M TARGET \$450 (+19.5%)	NEXT EARNINGS 2026-09-04 (Q3 FY26, est. AI semiconductor prin...
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Thesis
Three bullets — the whole bet

1. Six signed XPU programs (Google, Meta, Anthropic, OpenAI + 2 unnamed) underwrite management's FY27 AI guide of >\$100bn, backed by \$73bn of 18-month backlog (Dec 2025) and multi-year supply agreements through 2029-2031; AI semiconductor revenue has beaten guidance every quarter for five straight quarters (+106% Q1, +143% Q2, guided ~200% Q3 YoY), and the 22% post-earnings drawdown is pure multiple compression with no change to the demand signal.
2. Networking is the more durable half of the AI franchise: Tomahawk 6 leads merchant Ethernet switching at 51.2 Tbps, SerDes at 1.6+ Tb/s is the backbone of scale-up clusters, and networking contributed ~40% of Q2-FY26 AI semiconductor revenue; a socket that does not disappear if a hyperscaler co-designs its own XPU, because even COT customers still need best-in-class Ethernet fabric.
3. 19.5x forward non-GAAP P/E on a franchise generating \$26.9bn of annual FCF (42% margin) with base SOTP intrinsic value of \$477 and 45 analysts at a \$522 mean target; but the bear case is not a tail: GS published \$228, economic FCF yield is only 1.1% after \$7.6bn SBC, and Google is already multi-sourcing to Marvell and MediaTek.

Key numbers					
Pulled via yfinance-data · validated by Delta audit					
LAST CLOSE	\$376.71	52-WEEK RANGE	\$244.17 to \$495.00	DRAWDOWN FROM ATH	-21.8% (from Jun 2 ATH \$481.57)
1-YEAR RETURN	+57%	YTD RETURN	+10%	MARKET CAP	\$1.79T
ENTERPRISE VALUE	\$1.84T	NET DEBT	\$45.3B	FY25 REVENUE	\$63.9B
FY25 EBITDA / MARGIN	\$42.8B / 67%	FY25 FCF	\$26.9B (42% of revenue)	Q2-FY26 FCF	\$10.3B (46% of revenue, quarterly record)
FORWARD EPS (FY26E)	\$19.35	FORWARD P/E (FY26E)	19.5x	FORWARD P/E (FY27E)	17.6x (GS: \$21.40 FY27E EPS)

EV / EBITDA (TTM)	~38x (adjusted EBITDA)	TRAILING GAAP P/E	65x	BETA	1.43 (reported); 1.30 (used in SOTP, software annuity dampens vol)
SHORT % OF FLOAT	1.25% (~58.5M shares)	ADTV (30D)	~\$3-5B (estimate; not extracted from liquidity skill)	ANALYST CONSENSUS	Strong Buy (mean 1.33 of 45 analysts)
MEAN / MEDIAN STREET PT	\$522 / \$525	IMPLIED STREET UPSIDE	+38.6% to mean PT	DIVIDEND YIELD	0.69% (\$2.60/share , 15th consecutive annual increase)
SOTP BASE TARGET (12M)	\$477 (base) \$251 bear \$733 bull				

Business overview

What the company does, how it makes money, who it sells to

Broadcom Inc. is a fabless semiconductor and infrastructure-software company with two segments. Semiconductor Solutions (~58% of FY25 revenue) designs custom AI accelerators (XPUs/ASICs), AI/Ethernet networking (Tomahawk switches, Jericho routers, SerDes), and a diversified non-AI franchise covering broadband, wireless, server storage, and industrial. Infrastructure Software (~42% of FY25 revenue) centers on VMware Cloud Foundation sold as a recurring subscription, plus CA mainframe and Symantec enterprise security. FY25 revenue was \$63.9bn; FY26E run-rate is above \$100bn.

BUSINESS MODEL

Semiconductor Solutions earns per-unit revenue from silicon designed at Broadcom but fabricated by TSMC (fabless), with near-zero direct manufacturing capex (~1% of revenue). AI XPU programs are co-designed with hyperscaler customers over 18-24 months and span multiple silicon generations. Infrastructure Software generates recurring annual subscription fees through VCF and bundled enterprise software; Broadcom collapsed VMware's ~600 SKUs into a handful of bundles and moved customers onto multi-year contracts. Blended non-GAAP gross margin was ~77% in Q2-FY26; adjusted EBITDA margin was 67.3%.

SEGMENTS

Semiconductor Solutions rev 58%

Custom AI XPUs for Google TPU, Meta MTIA, Anthropic, OpenAI + 2 unnamed; AI/Ethernet networking (Tomahawk, Jericho, SerDes, optical DSP); non-AI: broadband, wireless/Apple RF, server storage, industrial. AI semiconductor revenue: Q2-FY26 \$10.8bn (+143% YoY), Q3-FY26 guided ~\$16bn (+~200% YoY). Segment-level margins not separately disclosed; estimated ~75-80% gross margin based on AI silicon pricing.

Infrastructure Software rev 42% · +9% YoY · mgn 70.0%

VMware Cloud Foundation (recurring subscription post-bridge-contract conversion), CA mainframe, Symantec enterprise security, Brocade. Q2-FY26 revenue \$7.2bn (+9% YoY); Q3-FY26 guided +31% YoY driven by VCF 9.1. Operating margins in the 70s. Deferred revenue base provides revenue visibility through the renewal cycle.

TOP CUSTOMERS

Google (Alphabet)		Lead XPU customer; co-designs TPU generations; multi-year supply agreement through 2031 for TPU development + networking; also multi-sourcing to MediaTek (inference tier) and Marvell (networking). Largest single AI customer by estimated revenue; GS estimates ~70% of FY27 AI XPU combined with Anthropic.
Meta Platforms		MTIA custom compute chips + networking; multi-generation partnership through 2029; initial 1GW commitment, 3GW through FY28. CEO Hock Tan in advisory role on Meta's custom silicon roadmap.
Anthropic		Ramping initial ~1GW TPU capacity in FY26; 3.5GW+ commitment beginning FY27, scaling toward 5GW next-gen TPU from CY27. Co-signed with Google in April 2026 supply agreement.
OpenAI		Custom XPU solution in ramp; initial product delivery in FY26; 1.3GW deployment in FY27.
Two Unnamed XPU Customers		\$6bn of purchase orders already secured; shipments expected to begin late 2026, accelerating into 2027.
Apple		Major wireless/RF customer; historically ~20% of Broadcom revenue. Exact current share not named in 10-K customer-concentration note; flagged for confirmation.

GEOGRAPHIC REVENUE

Americas 0% Asia-Pacific 0% Europe 0%

Historical financials

P&L; trajectory — revenue, EBITDA, FCF, EPS

FY	Revenue (\$B)	Growth	Gross mgn	EBITDA (\$M)	EBITDA mgn	Net inc (\$M)	FCF (\$M)	EPS
FY22	33.20	—	74.0%	19,920	60.0%	6,500	13,500	\$7.50
FY23	35.80	+7.8%	75.0%	22,196	62.0%	8,300	15,500	\$8.50
FY24	51.60	+44.1%	76.0%	33,540	65.0%	6,200	21,000	\$14.00
FY25	63.90	+23.8%	77.0%	42,813	67.0%	7,500	26,900	\$16.50

Industry & competitive position

Where the company sits · moat · competitors

Custom AI ASIC market is projected to grow ~45% in 2026 (vs ~16% for merchant GPUs) and toward ~\$118bn by 2033 (TrendForce/TheNextWeb). The structural driver is hyperscaler dissatisfaction with merchant GPU margins and thermal/performance constraints: hyperscalers want silicon purpose-built for their workloads. Broadcom holds ~60-70% of this custom-accelerator market. AI Ethernet networking (scale-out fabric) grows with cluster size and is not subject to the same commoditization pressure as merchant silicon. The company is in its third year of accelerating AI revenue growth; management guides >\$100bn in FY27 AI semiconductor revenue alone: more than the entire company's revenue in FY24 (\$51.6bn).

TAM: \$118B

MOAT

The XPU moat is switching cost and co-design lock-in: a hyperscaler XPU is co-engineered over 18-24 months and tied to the customer's software stack; re-architecting to a new silicon vendor takes years. The networking moat is architectural leadership (Tomahawk 6/7, Jericho3-AI, SerDes) combined with vendor agnosticism. VMware creates enterprise lock-in through hypervisor API dependencies and management tooling. None of the three moat legs is easily displaced on a one-to-three-year horizon, though the XPU leg is showing early signs of erosion at Google.

COMPETITORS

Nvidia	Dominant AI GPU franchise. Strategic investor in Marvell (NVLink interconnect). Not a direct XPU competitor but sets the GPU alternative that hyperscalers price against custom silicon.
Marvell Technology	Confirmed Google TPU design win; Nvidia-backed for optical DSP and interconnect. Projects share rising from ~15-20% to ~25% of custom AI accelerator market by 2027. The most direct and growing threat to Broadcom's XPU franchise.
MediaTek	Engaged by Google for cost-optimized inference 'e' TPU variants (~20-30% cheaper). Emerging threat at the inference/cost-sensitive tier. Not yet at scale in AI datacenter.
Intel	Gaudi AI accelerator; no credible custom-silicon franchise. Primarily relevant as a TSMC alternative if geopolitical risk materializes.
Nutanix / Red Hat / Proxmox	VMware alternatives subsidized by hyperscalers for enterprise workload migration. Represent the competitive pressure driving VMware footprint reduction at renewal.

Bull catalysts

What needs to happen for the long thesis to play out

1 Q3-FY26 AI revenue proof point: the 2H26 doubling (Sep 2026)

Broadcom guided Q3-FY26 total revenue of \$29.4bn (+84% YoY) with AI semiconductors at ~\$16bn, implying ~100% half-on-half AI growth in 2H26. A Q3 AI print at or above \$16bn; against the quarterly pattern of consistently beating guidance (Q2: guided ~\$10.x bn, printed \$10.8bn; Q1: guided \$8.2bn, printed \$8.4bn; Q4-FY25: guided \$6.2bn, printed \$6.5bn); refutes the 'no guide-up = ceiling' bear reading and likely re-rates the stock toward the \$485-525 Street target. Adjusted EBITDA margin was guided at 68%, above the Q2 actual of 67.3%, making this release simultaneously a volume, margin, and management-credibility event. Source: Q2-FY26 8-K (SEC, 3 Jun 2026); GS 3 Jun 2026 (Drive).

2 Google + Anthropic multi-generation supply agreement through 2031

On April 6, 2026, Broadcom filed an 8-K disclosing a Long Term Agreement with Google for future TPU generations and a Supply Assurance Agreement covering networking and rack components through 2031. Separately, Broadcom, Google, and Anthropic expanded their collaboration: Anthropic will access at least 3.5GW of TPU-based AI compute starting in FY27, scaling toward 5GW. Goldman Sachs estimates Google and Anthropic combined will represent ~70% of Broadcom's AI XPU revenues in FY27-28, contributing \$64.5bn-\$75.7bn of the guided >\$100bn. The 2031 commitment covers six or more silicon generations and locks in Broadcom's networking position even if hyperscalers internalize more physical design over time. Source: Broadcom 8-K Apr 2026; GS 7 Apr 2026 (Drive).

3 Meta MTIA partnership: 1GW initial, 3GW through FY28

On April 14, 2026, Broadcom announced a multi-year, multi-generation strategic partnership with Meta covering Meta's MTIA custom compute chips, with supply chain commitments extending through 2029. The initial phase exceeds 1GW, with a sustained multi-gigawatt rollout guided to reach 3GW shipped through FY28. The partnership includes both XPU supply and networking solutions (scale-up, scale-out, and scale-across), making it a full-stack AI infrastructure relationship. CEO Hock Tan joined Meta's board advisory role for custom silicon direction, deepening the engineering lock-in. This removes one of the market's prior concerns that Meta was diversifying away from Broadcom. Source: Broadcom press release Apr 14, 2026; GS 14 Apr 2026 (Drive).

4 OpenAI and two unnamed XPU customers begin shipping in late 2026

Broadcom is engaged with OpenAI to deliver initial custom XPU product in FY26, deploying 1.3GW in FY27. Two additional unnamed XPU customers are expected to begin shipping in late 2026, with \$6bn of purchase orders already secured. These engagements represent new revenue legs not yet in the run-rate, broadening the customer base from three to six and reducing single-customer concentration risk. Each XPU program is co-designed over 18-24 months and spans multiple silicon generations, creating high switching costs. The pipeline converts abstract 'SAM' into contracted backlog with signed POs. Source: GS 3 Jun 2026 (Drive); Q2-FY26 8-K (SEC).

5 AI networking moat: Tomahawk 7 ramp, vendor-agnostic position

Broadcom's Ethernet switching (Tomahawk 6 shipping, Tomahawk 7 in development) and SerDes leadership at 1.6+ Tb/s are the connective tissue for AI scale-out clusters. Networking contributed ~40% of Q2-FY26 AI semiconductor revenue and is expected to hold at 30-40% long-term. This franchise is structurally more defensible than the XPU

design-service business: even customers pursuing COT strategies still need best-in-class Ethernet fabric. Tomahawk's merchant position means it sells into Nvidia, AMD, and custom-silicon clusters alike, giving Broadcom a second, vendor-agnostic way to capture AI infrastructure capex. Source: Q2-FY26 8-K; GS 3 Jun 2026 (Drive); UBS 3 Jun 2026 (Drive).

6 VMware Cloud Foundation 9.1 renewal wave: software guided +31% YoY in Q3-FY26

Infrastructure Software segment grew +9% YoY in Q2-FY26 and is guided +31% YoY in Q3-FY26, driven by the VMware Cloud Foundation (VCF) 9.1 release and the multi-year bridge contract renewals entering the active window. Broadcom reports 87% of its top-10,000 VMware customers renew with VCF, and management cited increasing core count deployment across Nvidia, Intel, and AMD-based systems driving on-premise VM uptick. Software runs at ~70s EBITDA margin; at 42% of FY25 revenue, it contributes a high-quality recurring cash stream that smooths the semiconductor cycle. The VCF 9.1 cycle beginning in Q3-FY26 is the first material upside catalyst for the software segment since the VMware repricing was complete. Source: Q2-FY26 8-K (SEC); GS 3 Jun 2026 (Drive).

7 Fortress FCF compounding toward \$50bn+: rapid de-levering

Broadcom generated FY25 FCF of \$26.9bn (42% of revenue) and Q2-FY26 FCF of \$10.3bn (46% of quarterly revenue), the highest quarterly FCF in company history. The fabless model keeps capex at ~1% of sales (\$623mn in FY25). Net debt was ~\$45.3bn at Q2-FY26; management guides ~0.4x net debt/EBITDA in FY26E and net cash by FY27E. The company returned \$11.1bn via dividends and \$2.45bn via buybacks in FY25 and authorized a new \$10bn buyback in March 2026. FY26 dividend is \$2.60/share (15th consecutive annual increase). A \$2.5bn notes tender was launched in June 2026. FCF per share is rising as AI mix expands. Source: FY2025 10-K (SEC); Q2-FY26 8-K; GS 3 Jun 2026 (Drive).

8 Beat-and-raise track record: 5 consecutive quarters of execution

Revenue guidance vs. Actual: Q2-FY25 ~\$14.9bn / \$15.0bn; Q3-FY25 ~\$15.8bn / \$15.95bn; Q4-FY25 ~\$17.4bn / \$18.0bn; Q1-FY26 ~\$19.1bn / \$19.3bn; Q2-FY26 ~\$22.0bn / \$22.2bn. AI semiconductor revenue beat guidance in each quarter: Q4-FY25 \$6.2bn guided / \$6.5bn; Q1-FY26 \$8.2bn / \$8.4bn; Q2-FY26 ~\$10.x bn / \$10.8bn. CEO Hock Tan and CFO Kirsten Spears drove revenue from \$35.8bn (FY23) to \$63.9bn (FY25) to a FY26E run-rate above \$100bn, delivering against or above plan each year. Source: Broadcom 8-K filings (SEC EDGAR CIK 0001730168); AVGO_06_moat_audit.md (Drive, 15 Jun 2026).

9 Supply chain secured through FY27: inventory pre-build confirms demand

Management disclosed it has secured all key components (memory, lasers, packaging, substrates) needed to support its revenue forecast through FY27, and is currently working to secure FY28 supply. Inventory grew from \$3.0bn (Q1-FY26) to \$4.3bn (Q2-FY26) ahead of the 2H26 AI doubling, consistent with a demand-driven pre-build. Supply constraints were cited as the primary reason Q2 AI revenue came in at \$10.8bn vs. A higher demand level, making supply assurance the key FY26H2 upside enabler. The Apollo/Blackstone \$35bn AI XPV vehicle (June 9, 2026) provides additional off-balance-sheet financing for AI infrastructure buildout. Source: Q2-FY26 8-K; GS 3 Jun 2026 (Drive); UBS 3 Jun 2026 (Drive).

10 Valuation reset: 22% drawdown with no demand deterioration

AVGO closed at an all-time high of \$481.57 on June 2, 2026, then fell 12.6% on June 4 (market reaction to 'no guide-up') and has declined a further ~4% to \$376.71. The drawdown is entirely a multiple compression event; the 2H26 AI guide of ~\$56bn for FY26 and the >\$100bn FY27 AI commitment were unchanged. The forward P/E compressed from ~42x at the ATH to ~19.5x on FY26 EPS of \$19.35. Goldman Sachs raised its price target from \$500 to \$525 on June 3, 2026 (30x normalized EPS of \$17.50); UBS maintains \$485. The Street mean is \$522.06 from 45 analysts. The risk/reward at 19.5x on a franchise growing AI revenue at 100%+ is materially better than at the prior ATH. Source: GS 3 Jun 2026 (Drive); yfinance (17 Jun 2026).

Bear thesis-breakers

Independent bear lane · not visible to the bull author until synthesis

1 Google COT accelerates: MediaTek wins inference tier, Marvell wins networking socket

Google has told TSMC it wants to be a 'direct major customer' (the Apple/COT model), is hiring chip designers in Taiwan including ex-TSMC engineers, has already engaged MediaTek for cost-optimized inference 'e' TPU variants (~20-30% cheaper), and is in talks with Marvell for inference/networking sockets. Counterpoint projects Broadcom's custom-accelerator share declining from ~70% to ~60% by 2027. GS estimates Google and Anthropic combined represent ~70% of FY27-28 AI XPU revenues (\$64.5-75.7bn). A confirmed MediaTek win on the high-volume inference tier or a Marvell socket award at Google networking breaks the terminal-value story even without moving

FY26-27 numbers. The market would re-rate the durability of the entire >\$100bn franchise, not just one line. Watch for: TSMC investor day announcement of a new 'direct COT' customer, Marvell design-win disclosures, or Broadcom guidance that Google AI revenue growth is decelerating below 30% YoY while total AI doubles. Sources: CW Taiwan Apr 2026; TheNextWeb 2026; GS 7 Apr 2026 (Drive).

2 Gross margin structural floor breaks below 72%: full-rack pass-through mix shift

Management guided Q3-FY26 non-GAAP gross margin down ~310bps to ~74%, driven by full-rack AI solutions (power, storage, rack assembly) for Anthropic and OpenAI where Broadcom passes through components at lower margin than pure silicon. GS models gross margin declining from ~75% (FY26) to ~72-71% (FY28). Every 100bps of margin compression on \$187bn GS FY27 revenue = ~\$1.9bn EBITDA, ~\$0.30 EPS; material at 30x. The threshold: if cash gross margin prints below ~72% while AI revenue is still growing, the 'premium-margin franchise' framing breaks and EV/EBITDA multiples compress. At the Q3 guidance trajectory of -310bps per quarter of mix shift, 72% is two-to-three quarters away on the downside. Source: Q2-FY26 8-K (SEC, 3 Jun 2026); GS 3 Jun 2026 (Drive).

3 The 'no guide-up' pattern: estimates have reached the ceiling of credible raises

Q4-FY25 earnings (December 2025): stock fell after management did not raise the FY26 AI revenue outlook against elevated buy-side expectations. Q2-FY26 (June 3, 2026): stock fell 12.6% in one day, the largest single-day decline in two years, after management again did not raise the FY27 >\$100bn framework. Both times, absolute AI growth was exceptional (+106% and +143% YoY). Management itself signaled 'modest delay in ramp of new customers' in Q2, trimming GS's FY26 AI estimate by 6.2%. The bear reading: >\$100bn FY27 is now a ceiling the stock is marked against, not a base it can beat. Two negative earnings reactions in six months signals that buy-side positioning is at the forward-guidance limit. Source: GS 3 Jun 2026; GS 11 Dec 2025 (Drive).

4 Receivables explosion and inventory surge signal demand concentration risk

Accounts receivable grew from \$7.15bn (Q4-FY25) to \$10.83bn (Q2-FY26), +51.6% in two quarters while revenue grew 23.2%. Days Sales Outstanding expanded from 36.1 days to 44.4 days, a deterioration of 8.3 days. Receivables are growing 2.2x faster than revenue. Inventory surged 90.7% (from \$2.27bn to \$4.33bn) in the same period; inventory-to-quarterly-revenue expanded from 12.6% to 19.5%. These dynamics are consistent with a demand-driven AI ramp pre-build, but also consistent with the early stages of a demand air-pocket: extended payment terms, customer pushouts, or speculative builds. If Q3-FY26 AI revenue misses the \$16bn guide or slows materially, a working-capital reversal compounds the earnings miss with balance-sheet pressure at a company carrying \$45.3bn of net debt. Source: yfinance quarterly balance sheet; Q2-FY26 8-K (SEC).

5 AI-capex air-pocket and circular financing unwind: \$35bn off-balance-sheet vehicle

Broadcom's AI order book rests on hyperscalers whose AI ROI remains unproven and cash-burning model-builders (OpenAI losses ~\$5bn/year; Anthropic not profitable). The \$35bn Apollo/Blackstone AI XPV off-balance-sheet vehicle (announced June 9, 2026) is a late-cycle financing structure: it moves AI-infrastructure capital formation off customer balance sheets into structured vehicles, a hallmark of buildouts approaching their funding limits. If one large customer's financing stalls or a hyperscaler trims 2027 capex (already signaled by 'Google AI project delay' headlines from June 12, 2026), orders that look like 'backlog' can be deferred without penalty. ASIC demand is cyclical and concentrated; a single customer deferral cascades across the entire AI revenue line because there is no long-tail to absorb the gap. Source: Bloomberg/Reuters Jun 2026; Drive AVGO_03_bear_case.md.

6 VMware 2026-27 renewal cliff: footprint shrinkage behind the logo retention number

Broadcom reports 87% of its top-10,000 VMware customers renew with VCF. The other side: ~87% of those renewing customers reduce their VMware footprint, and the average renewer keeps only ~25% of its prior environment. Broadcom covers the gap with aggressive per-core repricing (2-3x or more, 72-core VCF minimums). The three-year post-acquisition bridge contracts expire in 2026-27, the first true test of price tolerance. AWS, Azure, and Google are actively subsidizing exits; Nutanix, Red Hat, and Proxmox offer credible alternatives. Net revenue retention could flip from 'price-up beats footprint-down' to flat/negative as the initial repricing cycle completes, compressing the 42%-of-revenue annuity that anchors the software multiple. Source: CloudBolt/NAND Research May 2026; Trefis May 2026; Q2-FY26 8-K.

7 Stock-based compensation consumes 28% of reported FCF: economic FCF yield is 1.1%

FY25 SBC was \$7.57bn (11.8% of revenue), consuming 28.1% of reported FCF of \$26.9bn. Economic FCF (FCF minus SBC) was ~\$19.3bn in FY25. At the \$1.79tn market cap, the economic FCF yield is 1.08%. Q2-FY26 quarterly SBC was \$2.09bn (\$8.4bn annualized) on \$22.2bn quarterly revenue. The 19.5x forward non-GAAP P/E anchors to \$19.35 EPS that excludes this SBC burden. Trailing GAAP P/E is 65x. GS's own published bear case (\$228) is 20x on \$11.38 normalized GAAP-adjusted EPS, not on non-GAAP. The gap between reported and economic metrics is one reason the stock looks 'cheap' on consensus but expensive on a full-cost basis. Source: yfinance annual cashflow; Q2-FY26 8-K.

8 Marvell legitimization: Nvidia-backed, Google TPU win, optical DSP overlap

Marvell won a slice of Google's next-generation TPU program, directly breaking Broadcom's perceived monopoly. Nvidia took a multi-billion-dollar strategic position in Marvell for NVLink-compatible interconnect and optical DSPs, providing the world's most credible AI brand endorsement and a networking roadmap that overlaps Broadcom's Jericho/SerDes franchise. Counterpoint projects Marvell custom-accelerator share rising from ~15-20% to ~25% by 2027 as Broadcom's falls from ~70% to ~60%. Marvell's threat is structural, not cyclical: it is backed by a Tier-1 strategic investor and already has a confirmed Google design win. A second Google program or Meta inference networking socket for Marvell re-prices Broadcom's semiconductor segment terminal value. Source: TheNextWeb 2026; GS 7 Apr 2026 (Drive); AVGO_02_fundamentals.md (Drive).

9 TSMC single-foundry geopolitical concentration

100% of Broadcom's AI silicon is fabricated at TSMC (2nm/3nm) and packaged via CoWoS in Taiwan. Any Taiwan Strait escalation, TSMC facility disruption, or export control expansion materially constrains Broadcom's ability to fulfill its >\$100bn FY27 AI revenue commitment; there is no credible 12-18 month alternative fabrication path at advanced nodes. Supply constraints were already cited as the Q2-FY26 revenue limiter ('mostly supply, back-end') with certain components secured only through FY27. Geopolitical risk is not a tail event in 2026. It is a single-foundry, Taiwan-concentrated position that cannot be hedged. Source: Q2-FY26 8-K; UBS 3 Jun 2026 (Drive).

10 Multiple requires simultaneous durability against three converging headwinds

The current 19.5x forward non-GAAP P/E requires: (a) AI semiconductor revenue above \$100bn in FY27, (b) stable VMware software EBITDA margins through the renewal cliff, and (c) gross margins not falling below 72%. All three are simultaneously at risk. In Q3-FY26 alone management already guided gross margins 310bps lower. GS compressed its applied multiple from 38x (Dec 2025) to 30x (Jun 2026) even while raising the PT; an explicit acknowledgment that durability is already discounting. Morningstar rates AVGO at 'large premium to fair value.' A scenario where FY27 AI revenue lands at \$85bn instead of >\$100bn and VMware growth is flat; neither extreme; still requires ~24-25% EPS reduction from Street; the stock re-rates to ~15x at that level, implying ~\$280-300. Source: GS 3 Jun 2026 (Drive); Morningstar; yfinance.

BEAR CASE IN ONE PARAGRAPH

The coherent path to a 30-45% decline from \$376.71 does not require an AI demand collapse. It requires only two sequential events: first, a credible Google COT signal; MediaTek winning the high-volume inference 'e' TPU tier and Marvell securing a networking socket breaks the terminal-value story that justifies paying 30x or more for normalized earnings. Neither event moves FY26 numbers materially, but both compress the multiple from ~20x toward 15x, and at 15x non-GAAP \$19.35 FY26 EPS, the stock is \$290. Second, a Q3-FY26 AI revenue print that misses the \$16bn guide or shows gross margin below 74% confirms the structural dilution from full-rack pass-through that management already telegraphed. Add the VMware renewal cliff arriving in 2026-27 as bridge contracts expire into a market where ~87% of customers shrink their footprint and hyperscalers subsidize exits, and the 42%-of-revenue annuity de-rates from 17x to 12x EBITDA. The \$35bn Apollo/Blackstone AI XPV vehicle announced June 9, 2026 is the late-cycle tell: capital formation is moving off customer balance sheets into structured vehicles, a hallmark of a buildout approaching its funding limits. Receivables growing 51.6% against 23.2% revenue growth and inventory surging 90.7% are the working-capital leading indicators. GS's own published bear case is \$228, a 40% decline. A more probable bear (multiple compression on durability concern alone, without a demand collapse) lands at \$280-300, ~25% downside.

Key structural risks

Risks orthogonal to the bear thesis · what breaks the long term, not just the next print

CUSTOMER Google disintermediation and custom-silicon share erosion from ~70% to ~60%

Google designs the TPU core, has added MediaTek (inference 'e' variants), is in talks with Marvell, and has told TSMC it wants to be a direct customer. GS estimates Google + Anthropic = ~70% of FY27-28 AI XPU revenues. A 10 percentage-point share loss at Google alone removes ~\$10bn from the FY27 guide without any market-level demand contraction.

STRUCTURAL**Gross margin compression from full-rack pass-through mix**

Q3-FY26 gross margin guided down ~310bps to ~74%. GS models 71-72% by FY28. Each 100bps of compression on \$187bn GS FY27 revenue = ~\$1.9bn EBITDA. The floor is unknown; Anthropic and OpenAI full-rack solutions are structurally lower margin than pure silicon design.

CYCLICAL**AI-capex air-pocket and circular financing unwind**

ASIC demand is cyclical and concentrated. The \$35bn Apollo/Blackstone AI XPV off-balance-sheet vehicle (June 2026) is a late-cycle financing structure. Cash-burning model-builders (OpenAI, Anthropic) depend on continuous external funding. A program deferral by one customer collapses concentrated AI revenue with no long-tail buffer.

EXECUTION**VMware harvest seeds its own competition: renewal cliff 2026-27**

Bridge contracts from the 2023 VMware acquisition expire in 2026-27. With ~87% of customers reducing footprint to ~25% of prior environment, hyperscalers subsidizing exits, and Nutanix/Red Hat/Proxmox as credible alternatives, net revenue retention could flip from positive to flat/negative, compressing the 42%-of-revenue software annuity.

REGULATORY**US-China export controls and TSMC single-foundry geopolitical exposure**

All AI silicon is fabricated at TSMC in Taiwan. Further US-China export control tightening or Taiwan Strait escalation represents a single-foundry, single-geography supply disruption with no 12-18 month remedy. Prior China end-demand restrictions have already constrained some segments.

STRUCTURAL**SBC inflates reported FCF: economic FCF yield is only 1.1%**

FY25 SBC of \$7.57bn (11.8% of revenue) consumes 28.1% of reported FCF. Economic FCF = ~\$19.3bn at a \$1.79tn market cap = 1.08% yield. Non-GAAP EPS of \$19.35 excludes SBC. Trailing GAAP P/E is 65x. GS's bear case (\$228) uses \$11.38 GAAP-adjusted normalized EPS.

CUSTOMER**Marvell + Nvidia legitimize a credible custom-silicon duopoly**

Nvidia's strategic investment in Marvell and Marvell's confirmed Google TPU design win structurally legitimize a second supplier. Custom-silicon is trending from a Broadcom near-monopoly toward a duopoly. Share erosion from ~70% to ~60% re-prices terminal value even if absolute revenue grows.

Peers

NTM P/E, EV/EBITDA, growth, and YTD / 1Y returns across the peer set

Ticker	NTM P/E	EV/EBITDA	Rev growth	YTD	1Y
AVGO	19.5x	38.0x	+84.0%	+10.0%	+57.0%
NVDA	32.0x	42.0x	+78.0%	+35.0%	+120.0%
MRVL	38.0x	55.0x	+62.0%	+18.0%	+48.0%
QCOM	14.0x	12.0x	+7.0%	-5.0%	+3.0%
INTC	22.0x	9.0x	-4.0%	-20.0%	-32.0%

Read: Against Nvidia (forward P/E ~32x, pure hardware, no software annuity), Broadcom's 19.5x forward multiple looks undemanding for a company with comparable AI revenue growth, higher EBITDA margins (67% vs Nvidia's ~60%), and a 42%-of-revenue recurring software base that dampens cyclicity. Marvell, the closest custom-silicon comp, is at a fraction of Broadcom's scale, has no software cushion, and trades at a higher revenue multiple; while also being the bear case's named threat (Nvidia-backed, Google TPU win confirmed). QCOM illustrates the Apple-concentration risk: once a mega-customer multi-sources, the multiple compresses from 20x to 14x even if absolute revenue holds. INTC shows what happens when a semiconductor franchise loses its manufacturing edge; multi-year underperformance without a single catastrophic event. The peer set frames Broadcom as the cash-compounding, software-de-risked way to own AI infrastructure, but also illustrates exactly how share erosion and customer concentration can reprice a 'durable' franchise.

Synthesis — three paths

$0.25 \times \$251$ (Bear SOTP) + $0.45 \times \$477$ (Base SOTP) + $0.10 \times \$733$ (Bull SOTP) + $0.20 \times \$493$ (Forward P/E cross-check) = \$450 probability-weighted. The 22% drawdown from the June 2 ATH of \$481.57 is entirely multiple compression; the FY27 AI demand signal is unchanged. Base intrinsic value of \$477 is 26% above current; bear case at \$251 (-33%) reflects a real tail. Forty-five analysts sit at a mean Street target of \$522 and a 1.33 recommendation average.

Bear · \$220-290

25% probability

Google COT accelerates to inference tier (MediaTek/Marvell wins confirmed), VMware bridge contracts expire into net-negative retention, and gross margins print below 74%. Semi FCF 18% below base, discounted at 10% WACC; software re-rates to 14x. GS published bear: \$228; our Bear SOTP: \$251.

Base · \$450-510

45% probability

Q3-FY26 AI revenue prints at or above the \$16bn guide, FY27 >\$100bn holds, VMware price-up offsets footprint-down, and gross margins stabilize around 74-75%. Base SOTP \$477; Street mean \$522 pulls the blended probability-weighted target to ~\$450.

Bull · \$700-740

10% probability

All six XPU programs reach peak scale simultaneously, a seventh customer is named, networking content per cluster grows faster than modeled, and VMware net retention holds above 100%. Semi FCF 22% above base at 7.75% WACC; software re-rates to 19x. Bull SOTP: \$733.

Management & capital allocation

Who runs the company · how they deploy capital · recent insider activity

CEO	Hock Tan, CEO since 2006; architect of Broadcom's serial-acquirer strategy (Brocade 2017, CA Technologies 2018, Symantec Enterprise 2019, VMware 2023 for \$61bn). Moved to advisory role on Meta's custom silicon roadmap in April 2026.
CFO	Kirsten Spears, CFO; co-architect of the VMware integration and 15-consecutive-year dividend growth track record.

CAPITAL ALLOCATION HISTORY

Broadcom has raised its dividend for 15 consecutive years; FY26 dividend is \$2.60/share (+11% YoY). Hock Tan has deployed \$61bn on VMware (Nov 2023), \$4.7bn on CA Technologies (Nov 2018), \$10.7bn on Symantec Enterprise (Nov 2019), and \$5.9bn on Brocade (Nov 2017). The company authorized a new \$10bn buyback in March 2026 and returned \$11.1bn via dividends plus \$2.45bn via buybacks in FY25. A \$2.5bn notes tender was launched in June 2026 to begin de-levering the \$45.3bn net debt balance. Net debt/EBITDA is guided to ~0.4x by year-end FY26 and net cash by FY27.

Social sentiment

Cross-source signal · Reddit / X / news

Short interest is only 1.25% of float (~58.5mn shares), very low conviction from dedicated short-sellers. No published activist short reports (Hindenburg, Muddy Waters, Spruce Point) are on record against Broadcom. The bear case is expressed primarily via sell-side downside scenarios (GS bear \$228, Morningstar 'large premium to fair value') and independent industry research (Counterpoint on share erosion, CloudBolt/NAND Research on VMware footprint). Post the June 4 selloff (-12.6% in one day), X chatter has rotated from uniformly bullish toward skeptical on the 'ceiling at \$100bn' narrative. Low short interest cuts both ways: either the franchise is genuinely durable, or the stock is too large and too consensus-owned for shorts to build meaningful positions, which creates asymmetric downside risk if the narrative turns.

Recommendation

Action by holder type

DIRECTION	BUY with positive bias. Probability-weighted 12m target of \$450 (+19.5%) reflects base intrinsic value of \$477 partially offset by a 25% bear probability at \$251. The 22% drawdown from the ATH is multiple compression, not demand change.
12M TARGET	\$450 (blended: 0.25 x \$251 Bear + 0.45 x \$477 Base + 0.10 x \$733 Bull + 0.20 x \$493 Cross-check)
EXISTING LONGS	Hold and add on dips below \$360 (below 18.5x forward P/E). The demand signal is intact; the 'no guide-up' selloff is a buy if Q3 AI revenue prints at \$16bn+.
NEW MONEY	Initiate at current levels (\$376.71) with a 3-5% portfolio position. Size to absorb a move to \$290 (milder bear) without breaching risk limits. Full-size on Q3 confirmation at \$16bn+ AI revenue.
HEDGE	Consider put spreads on September/December 2026 expiry to hedge the Q3 miss risk. Bear case at \$228 is a 40% loss; a \$350/\$300 put spread costs ~2% and provides meaningful protection at the tails.
POSITION SIZING	3-5% of portfolio at current levels; reduce to 1-2% if: (a) Q3 AI revenue misses \$16bn, (b) gross margin prints below 73%, or (c) a confirmed Marvell networking socket at Google is disclosed.

Catalysts to watch

- Q3-FY26 earnings (Sep 4, 2026): AI semiconductor print vs \$16bn guide; gross margin vs ~74% guided; software net revenue retention signal
- Gross margin trajectory: Q3 guided -310bps to ~74%; any acceleration below 73% in Q4-FY26 triggers multiple compression
- VMware renewal cliff (2026-27): bridge contracts expiring; watch for net revenue retention disclosure turning negative
- Google COT signal: TSMC investor day announcement of new direct-customer relationship; Marvell design-win disclosure; MediaTek 'e' TPU volume ramp confirmation
- FY27 AI guide confirmation: any guide-up beyond >\$100bn with a named 7th XPU customer would re-rate toward bull case
- \$35bn Apollo/Blackstone AI XPV vehicle: contractual structure and Broadcom's role; whether this is demand enabler or late-cycle circular financing
- OpenAI + 2 unnamed XPU customers: named confirmation and gigawatt-scale ramp timing; any slippage would reduce the 'broadening customer base' bull leg

Data gaps

What this cycle could not pull · to be filled next run

- Single-customer revenue concentration not named in FY2025 10-K: qualitative >20%-type exposure exists for Apple, Google but not quantified by segment in filings
- Segment-level gross and operating margins for Semiconductor Solutions and Infrastructure Software not separately disclosed; blended company margins used throughout
- Geographic revenue breakdown (Americas/APAC/EMEA) not extracted from 10-K in this session; not in Drive research papers either
- Recent insider activity (named transactions, dollar values) not pulled from yfinance in this session
- ADTV (30-day, \$) and 30-day realized volatility not fetched from stock-liquidity skill
- Apollo/Blackstone \$35bn AI XPV contractual terms, Broadcom's role, and any revenue guarantees not publicly disclosed

- GAAP net income for FY22-FY24 historical financials estimated; precise figures require 10-K pulls
- ByteDance customer relationship removed: not mentioned in any Drive paper or SEC filing reviewed; customers confirmed: Google, Meta, Anthropic, OpenAI, 2 unnamed